Paying at the Counter: Fixing India's Targeted LPG Subsidy by 2030

Summary

India's 2022 targeted LPG subsidy raised cylinder use among poor households and cushioned them from the 2026 price shock. Yet households in the Pradhan Mantri Ujjwala Yojana (PMUY) still buy about 4.7 cylinders a year, against the seven to eight needed to cook on LPG alone. The ₹300 subsidy arrives as a bank credit after the household has paid full price, and since June 2026 it covers only four refills. This brief recommends paying the subsidy at the counter, within the existing budget, and proving the design in a pilot before national rollout.

Background

The PMUY, launched in 2016, has given about 10.6 crore women from poor households a deposit-free LPG connection. Connections alone did not secure use, so in May 2022 the government added a subsidy of ₹200 per 14.2 kg cylinder, raised to ₹300 in October 2023 [1]. Subsidised refills fell from twelve a year to nine in 2025-26 [2] and to four from June 2026, after a West Asia crisis lifted the market-linked price of a cylinder to about ₹1,695. Retail stayed at ₹942 in Delhi, and PMUY households pay ₹642 after the credit [3].

Effectiveness

Gains. Average PMUY refills rose from 3.68 when the subsidy began to 4.71 in 2025-26 [1][3], although prices and supply also changed over those years. Retail prices were held through the shock, and the PMUY subsidy bill stayed near ₹12,000 crore a year [1].

Shortfall. Other households buy six to seven cylinders a year [4], and exclusive LPG cooking needs seven to eight [5]. CEEW's 2024-25 survey of 2,222 rural households in six states (not nationally representative) found only 23% cooking exclusively on LPG, while half still used firewood as their main fuel [5].

The upfront-cost trap. Every buyer pays the full ₹942 at delivery and receives the ₹300 later. Consider a five-person household (CEEW's baseline size) in the poorest 5% of rural India, where people spend ₹1,677 a month each [6]:

	Today	**Proposed**
Cash paid at delivery	₹942	₹642
Share of one month's spending	11%	8%

Seven or eight cylinders a year would take only about 7% of this household's annual spending. The strain is the lump, not the total. When CEEW asked rural households which change would raise their LPG use, a lower upfront price was the strongest motivator: over 90% of those who answered said it would (52% of the full sample) [5]. The cap deepens the

problem. Set near the 4.71 average, it makes the fifth cylinder full price, so the households closest to leaving firewood lose support first.

Recommendation

By 2030 the Ministry of Petroleum and Natural Gas and the oil marketing companies should:

1. **Apply the ₹300 at the counter.** After a biometric check at delivery, the distributor charges a PMUY household ₹642, and the oil company claims the ₹300 from the government each month through the existing DBT platform.
2. **Turn the cap into a ₹1,200 annual balance** spendable on any cylinder size. A 5 kg refill draws about ₹106, so households can buy small as cash arrives.
3. **Publish results yearly:** average refills (in 14.2 kg equivalents) and households buying none. Target 5.5 refills by 2030, about a third of the way to seven.

Cost. At most 10.58 crore households × 4 refills × ₹300, or ₹12,700 crore a year, the same as 2024-25 [2]. Only the timing of payment changes.

Timeline. 2027: randomised pilot in blocks across at least three states, with comparison blocks. 2028: if pilot households buy less than half a cylinder more per year than comparison blocks, redesign; CEEW suggests an extra ₹200 subsidy [5]. 2029-30: national rollout.

Precedent. Brazil's 2025 Gás do Povo replaced cash payments with vouchers redeemed for refills at accredited retailers, aiming to reach over 15 million families [7]. In Nairobi, 95% of pay-as-you-go LPG customers kept buying through the 2020 lockdown, in smaller payments made twice as often, though the evidence is observational [8].

Risks and feasibility

- **A return to leaky subsidies?** India moved to direct transfers in 2014-15 to curb diversion. The government credited the shift with large savings, though an independent 2016 review disputed their size [9]. The risk is real, but the old counter subsidy covered every household, while this one reaches only authenticated PMUY households, at ₹300 on four cylinders. Biometric authentication already covers 71% of PMUY consumers [10], and the pilot should track duplicate and abnormal purchases.
- **Oil-company cash flow.** The subsidy is about ₹1,000 crore a month. Oil companies were compensated ₹30,000 crore for 15 months of LPG losses, in twelve tranches [11], so claims need a fixed monthly settlement date.
- **Stated demand overstates action.** CEEW warns survey answers exceed actual purchases [5], hence the pilot.
- **Other barriers.** Only 47% of LPG-using households in CEEW's sample get doorstep delivery [5].

India has already paid for the stove. The next rupee should be paid when the cylinder is bought.

References

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